

V Foods — Business Registration & Compliance Roadmap

A clear reference document: what V Foods needs to legally operate as a SaaS platform serving colleges, in what order, and why.

1. What Kind of Business This Is

V Foods is a **SaaS platform delivered as a service to colleges** — the software is built once, then deployed to each participating campus, with the platform taking a share of every transaction. This is the same business shape as Swiggy, Zomato, or any transaction-based marketplace SaaS.

Two founders are involved — this document assumes a two-partner structure throughout.

Because V Foods **handles real money** (a student wallet, order payments, and a three-way split between shop, platform, and college), it sits at the intersection of three separate regulatory areas:

- **Business law** — how the company itself is legally formed
- **Payment law** — rules around holding and moving customer money (RBI)
- **Food safety law** — rules around facilitating food sales (FSSAI)

Each area has its own registration requirements, explained below.

2. Recommended Business Structure: LLP

Why LLP, not the alternatives

Structure	Verdict for V Foods
Sole Proprietorship	Rejected — only works for one owner, there are two founders

Structure

Verdict for V Foods

Partnership Firm	Rejected — not a separate legal entity; both founders carry unlimited personal liability, too risky for a business holding student money
LLP (Limited Liability Partnership)	Recommended — real company, limited liability, light compliance, built for two founders
Private Limited Company	Not needed yet — heavier compliance and cost than the current stage requires; the right move <i>later</i> if V Foods raises outside investment
One Person Company	Rejected — built for a single owner only

What LLP gives V Foods specifically

- Its own separate legal identity (not the same as either founder personally)
- Liability capped at what each partner invests — personal assets (savings, property) stay protected
- Can hold its own PAN, GST number, bank account, and merchant accounts in its own name
- Lighter ongoing paperwork than a Private Limited Company, appropriate for this stage
- Converting to a Private Limited Company later, if investment is raised, is a standard and well-established process — choosing LLP now does not lock out that future

3. The Full Registration Sequence

Each step below depends on the one before it. Steps marked **(parallel)** can be worked on at the same time as a neighboring step once their own prerequisite is met.

Step 1 — Digital Signature Certificates (DSC)

- One DSC per founder (two total), used to digitally sign all official filings

- Requires a short video-KYC verification call for each founder
- Cost: roughly ₹800–1,500 per certificate

Step 2 — Reserve the LLP Name (RUN-LLP)

- Government filing to reserve "V Foods" (or the LLP's chosen legal name) before incorporation
- Cost: ₹200 (government fee)

Step 3 — File FiLLiP (LLP Incorporation)

- The main incorporation form, filed with the Ministry of Corporate Affairs (MCA)
- This single filing also triggers automatic PAN and TAN allotment for the LLP
- Cost: ₹500 (government fee, for contribution amounts kept at or below ₹1 lakh)
- Result: Certificate of Incorporation + LLPIN (the LLP's official ID number)

Step 4 — File the LLP Agreement (Form 3)

- A legal requirement: must be filed within **30 days** of incorporation
- This is the document where the founders' profit-sharing ratio, roles, and decision rights are formally recorded
- Have this conversation between founders settled *before* incorporating, not after — avoids delay or disagreement against a legal deadline
- Stamp duty varies by state: roughly ₹500–2,000

Step 5 — Open a Current Bank Account in the LLP's Name

- Requires the Certificate of Incorporation and the LLP's PAN
- Keeps V Foods' money legally and financially separate from either founder's personal account — this is part of what makes the liability protection real in practice, not just on paper
- Most banks require a minimum balance (commonly ₹5,000–25,000) — this is the founders' own money, held in the account, not a fee

Step 6 — GST Registration

- Filed online using the LLP's PAN and bank account details
- No government fee

- Required for proper invoicing once V Foods starts taking its platform share of transactions

Step 7 — Udyam (MSME) Registration (parallel with Step 8)

- Free, done online, requires GST and PAN to already exist
- V Foods would almost certainly qualify as a **Micro** enterprise
- Benefits: preferential loan interest rates if the business ever needs funding, eligibility for government startup schemes, faster legal recourse on delayed payments from any vendor or partner, and added credibility during Paytm's merchant review

Step 8 — Paytm Business/Merchant Account + Split Settlement Onboarding (parallel with Step 7)

- Requires: LLP PAN, GST certificate, bank account details
- This is the step that unlocks the actual payment integration already built into V Foods' backend
- Often the **slowest** step in the whole sequence — Paytm's underwriting/KYC review for a merchant account that uses split settlement can take anywhere from one to several weeks
- No upfront registration cost — Paytm earns through per-transaction fees afterward

Step 9 — FSSAI e-commerce FBO Central License

- Required because V Foods is an e-commerce platform that facilitates food orders, even without cooking or handling food directly
- Cost: ₹7,500/year
- Can be filed in parallel with Step 8 once the LLP and PAN exist
- Also often a slower step — budget several weeks for review
- **Separately**, every individual shop onboarded onto V Foods must hold and display its own FSSAI license or registration before it can be listed — this is a legal requirement, not optional, and should be a gate in the shop onboarding flow itself

4. What Still Needs Independent Legal Review

This document is a planning reference, not legal advice. Two specific areas genuinely need a conversation with a qualified professional before real student money moves through the app:

RBI / Prepaid Payment Instrument (PPI) compliance

A wallet that stores a student's money and lets them spend it later falls under RBI's Payment and Settlement Systems Act, 2007. Operating an unauthorized money-holding wallet carries real enforcement risk. The intended approach: route top-ups through **Paytm's own authorized wallet/escrow infrastructure**, so Paytm — who already holds the required license — is the regulated entity actually holding the money, with V Foods' own wallet balance acting as a display layer on top of Paytm's real ledger rather than its own independent money-holding system. **Confirm this exact structure with a fintech-aware CA or lawyer before launch.**

College Agreement

Since the three-way payment split includes a share to the college itself, this requires a formal written agreement with the institution (likely through its finance office) — covering the college's Paytm settlement account details, the agreed percentage, and consent to the arrangement. This is an institutional conversation, not something resolved through app development alone.

5. Play Store Publishing — Where It Fits

Publishing on Google Play is a **separate track** from business registration — a \$25 one-time developer account fee, unrelated to the LLP/GST/FSSAI/Paytm chain above.

The important connection: **Google Play reviews financial/payment apps strictly**, and can request proof of business registration and licensing before approving or continuing to host an app with a real money wallet. Publishing before the registration chain above is complete carries a real risk of rejection or later takedown — the registration work should be treated as a prerequisite to publishing, not a parallel, optional track.

Recommended order: complete Steps 1–9 above (or at minimum, have LLP, PAN, GST, and Paytm merchant approval in hand) before submitting to Play Store.

6. Summary Timeline Expectations

Step	Realistic time
DSC	1–2 days
RUN-LLP name approval	2–3 days
FiLLiP incorporation	Several days to ~2 weeks
LLP Agreement (Form 3)	Within 30 days of incorporation (legal deadline)
Bank account	Several days to ~2 weeks
GST registration	Few days to ~1 week
Udyam/MSME	Same day, once GST exists
Paytm merchant + split settlement	1–4+ weeks (often the slowest step)
FSSAI Central License	Several weeks

A realistic total, start to finish: **4–8 weeks**, largely driven by Paytm's and FSSAI's own review timelines rather than anything within the founders' direct control.

7. Quick Reference — What Each Registration Is For

Registration	Why V Foods needs it
LLP	The legal entity itself — owns the business, the code, the brand
PAN (LLP's own)	Tax identity for the business, required for every subsequent step
Current bank account	Keeps business money separate from personal money
GST	Legal invoicing for the platform's share of every transaction
Udyam/MSME	Free credibility and benefits, no real downside
Paytm Merchant + Split Settlement	The actual payment processing and the shop/platform/college split
FSSAI (platform)	Legal requirement to operate as a food-ordering e-commerce platform
FSSAI (per shop)	Legal requirement for each individual shop listed on V Foods